

The Weekend the Empire Ended

Suez, 1956 — and the day a telephone call and a threat to sell bonds did what no army could: bring a great power to its knees.

There is a particular kind of power that leaves no scorch marks. It topples no statues and fires no shots, yet it can unmake an empire in the time it takes a chancellor to read a column of figures. In the first week of November 1956, Britain discovered this power the hard way. Its soldiers were winning a war on the banks of the Suez Canal; its currency was losing one in the markets of New York and London. Within days the second fact had erased the first, and three centuries of imperial self-confidence quietly expired — not on a battlefield, but on a balance sheet.

This is the story of how that happened: how a waterway in the Egyptian desert became the dividing line between an old world and a new one, how a postal clerk's son outmanoeuvred two European empires, and how the United States demonstrated, with surgical calm, that in the modern age the decisive weapon is not the gunboat but the dollar.

I. The Jugular Vein of an Empire

To understand why Suez mattered, picture a map of the world as London saw it in the 1950s. Britain's wealth and power depended on the sea lanes that bound its scattered possessions together, and the single most important link in that chain ran through a hundred-odd miles of dredged channel in Egypt. Opened in 1869 under the French engineer Ferdinand de Lesseps, the Suez Canal joined the Mediterranean to the Red Sea, and in doing so it cut the voyage from Britain to India almost in half. A ship that had once laboured 12,000 miles around the southern cape of Africa could now slip through the desert and reach the Indian Ocean in a fraction of the time.



FIGURE 1 — THE CHOKE POINT. The canal runs roughly 100 miles from Port Said on the Mediterranean to Suez on the Red Sea, slicing through Egyptian territory. Whoever controlled this thin blue line controlled the shortest sea route between Europe and Asia — and, by the 1950s, two-thirds of Western Europe's oil.

The canal was not merely convenient; it was strategic in the deepest sense. Two-thirds of the oil that fuelled post-war Western Europe passed through it. Yet it was not owned by Egypt, through whose land it ran. It was owned by the Suez Canal Company, an Anglo-French concern in which Britain had been the largest single shareholder since 1875, when Disraeli — bankrolled by a hurried loan from the Rothschilds — bought up the shares of Egypt's bankrupt ruler. For the better part of a century the canal's handsome revenues flowed to Paris and London while British garrisons sat along its banks as a standing reminder of where real authority lay. To Egyptians, who had buried tens of thousands of labourers in its construction, it was colonialism distilled to its essence: their land, their dead, somebody else's profit.

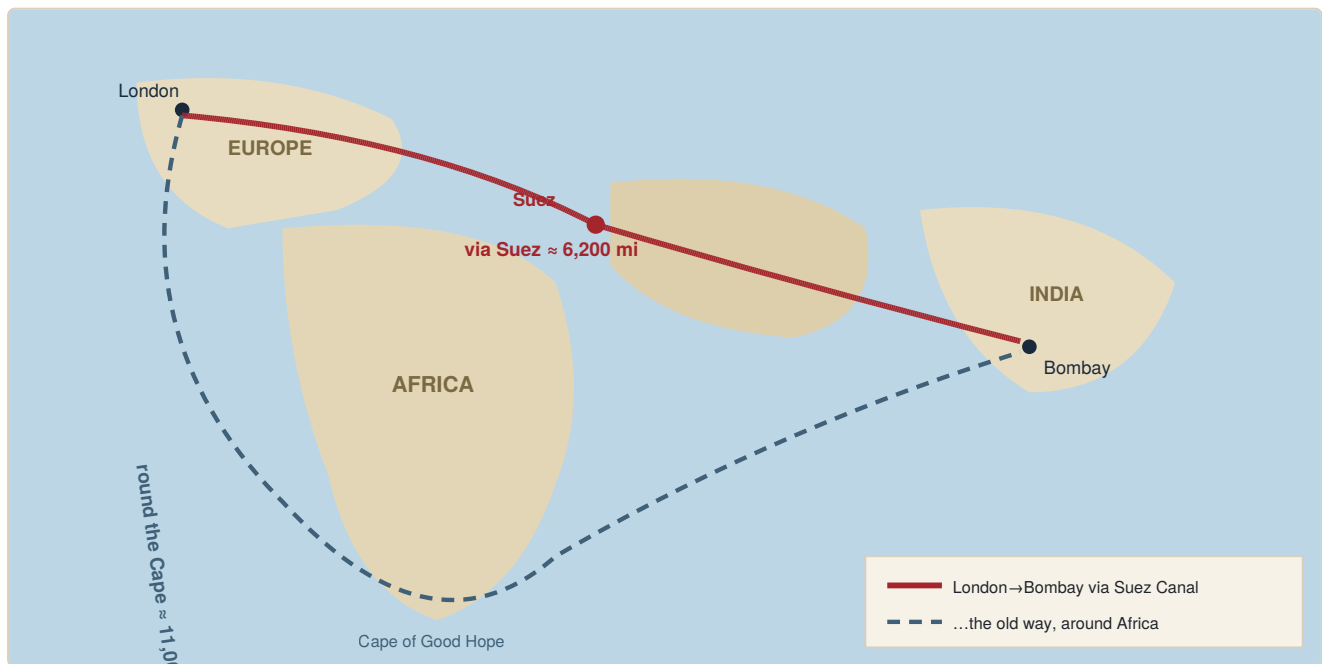


FIGURE 2 — WHY HALF A WORLD HUNG ON ONE CANAL. Before 1869, every cargo and every troopship bound for India crawled around the Cape of Good Hope. The canal nearly halved the distance, turning weeks into days. For an empire stitched together by shipping, that saving was the empire.

II. The Colonel Who Said Enough

Into this arrangement walked Gamal Abdel Nasser. The son of a provincial postal clerk, he rose through the army carrying a conviction that his country's humiliation was neither natural nor permanent. In 1952 he and a circle of young officers swept away the corrupt King Farouk in a near-bloodless coup; by 1954 Nasser was Egypt's undisputed leader and the most electric voice of Arab nationalism — the idea that Arabs should command their own resources and their own destiny. To London and Paris, that idea was a contagion.

Nasser played the Cold War shrewdly. He recognised Communist China, bought arms from the Soviet bloc, and courted both superpowers for help with his great modernising dream: the Aswan High Dam, a colossus on the Nile meant to tame floods, generate power and remake Egyptian agriculture. At first Washington and London offered to fund it. Then, irritated by Nasser's flirtations with Moscow, the American Secretary of State John Foster Dulles abruptly withdrew the offer in July 1956 — publicly, and with a sneer about Egypt's ability to pay. It was meant to humble Nasser. It detonated in Western hands.

He said the engineer's name almost in passing. It was a signal. By the time the speech ended, the canal was Egyptian.

A week later, on 26 July 1956, Nasser stood before an immense crowd in Alexandria and spoke for nearly three hours. Woven into the oratory was a single proper noun — *de Lesseps*, the canal's builder — and it was a pre-arranged cue. As Nasser uttered it, Egyptian forces moved to seize every installation along the waterway. He promised to compensate the shareholders and to spend the canal's revenues on the dam. By nightfall the crown jewel of European colonialism belonged to Egypt, and the Arab world erupted in celebration.

III. A Plot Too Clever by Half

In London the response bordered on the unhinged. Prime Minister Anthony Eden had built his career on the lesson of the 1930s — that dictators must be confronted, never appeased — and he now cast Nasser as a Nile Mussolini who had to be destroyed. Eden's judgement, however, was not what it had been. A botched operation in 1953 had left him in chronic pain and reliant on stimulants and sedatives; colleagues noted his sleeplessness, his volatility, his slipping grip. The man steering Britain through a delicate crisis was, in plain terms, unwell.

Unable to invade openly in an age of the United Nations and an unwilling American ally, Eden chose conspiracy. In late October, at a villa in the Paris suburb of Sèvres, envoys from Britain, France and Israel drew up a secret script. Israel would strike across Sinai toward the canal. Britain and France would then issue a high-minded "ultimatum" ordering both sides to pull back from the waterway — an order that, since the canal lay inside Egypt, effectively demanded Egypt's surrender. When Nasser refused, as he was certain to, the two European powers would "intervene to protect the canal," seize it, and topple him. The arrangement was written down as the Protocol of Sèvres. Eden was so frightened of the evidence that he had Britain's copy shredded; the French and Israelis kept theirs.

Each conspirator had its motive. Israel faced a hostile Egypt blockading its shipping and sponsoring raids. France was fighting Algerian rebels whom Nasser openly armed. Britain wanted its canal and its oil. But all three either ignored or fatally misjudged the one variable that mattered most: how Washington would react.



FIGURE 3 — THE FUSE. A compressed timeline of the crisis. The military plan unfolded almost exactly as scripted; it was the financial reaction, not the fighting, that decided the outcome on 6 November.

IV. The Dollar Drawn From Its Scabbard

On 29 October Israel attacked. On 31 October British and French bombers destroyed Egypt's air force on the ground. Militarily, the plan worked: within days Anglo-French troops were advancing down the canal and commanders believed they could take the whole of it within a day. In Washington, President Eisenhower — blindsided by allies who had hidden a war from him during the final week of his re-election campaign — was coldly furious. He was no anti-imperial romantic; he was a former general who simply understood that an age was ending, that propping up colonialism by force would only deliver the new nations of Asia and Africa to the Soviets. And he reached not for a fleet but for a far more precise instrument.

To see why that instrument was lethal, you have to understand how fragile Britain's grandeur really was. The country had won the Second World War and very nearly ruined itself doing so, emerging with debts of around £14 billion and leaning on a vast 1945 American loan. The pound sterling was still the world's number-two currency, the anchor of the "sterling area" — a club of nations, mostly past and present colonies, that held their savings in pounds. But a reserve currency lives on confidence, and confidence is a thin reed.

Britain had pledged to hold the pound at a fixed rate of **\$2.80**. Defending that promise meant that whenever holders dumped pounds, the Bank of England had to buy them back using its hoard of gold and dollars — and that hoard, in

October 1956, was only about **\$2.2 billion**, barely a few months' worth of imports. The moment the bombs fell, confidence cracked. Speculators sold sterling; the Bank burned reserves to defend the peg; the draining of reserves fed the very fear that more devaluation was coming, which prompted yet more selling. This is the anatomy of a currency run, and Britain was caught in one. In a single week it lost **\$102 million**, leaving reserves at just over \$2 billion and falling.

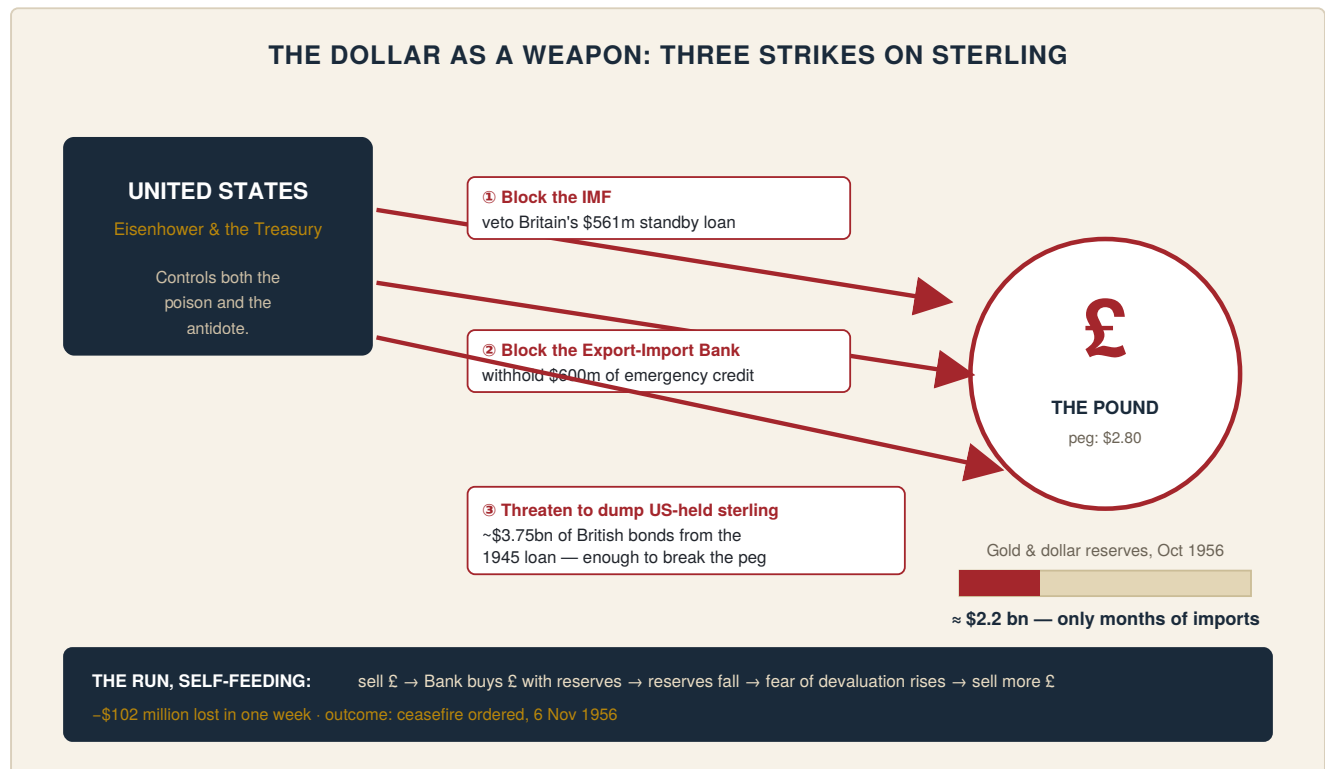


FIGURE 4 — HOW WASHINGTON SQUEEZED. Eisenhower could both *accelerate* the run (by selling America's sterling) and *withhold the rescue* (by vetoing the IMF and Export-Import Bank loans Britain was begging for). Holding both the poison and the antidote, he never had to fire a shot — or even, in the end, sell a single bond. The threat was the weapon.

Here was the genius and the cruelty of Eisenhower's position: the United States controlled both the poison and the antidote. It could *worsen* the run by selling its own large holdings of sterling, and it could *deny the cure* by blocking the rescue loans Britain now desperately sought. Scholars have since described three coordinated financial strikes. Washington vetoed Britain's request for a \$561 million standby loan from the International Monetary Fund, where the American vote was decisive. It blocked a further \$600 million of credit from the U.S. Export-Import Bank. And, most chillingly, Eisenhower had his Treasury Secretary prepare to sell part of America's roughly \$3.75 billion of British bonds — a move that would have shattered the pound. To every British plea the answer was the same: not until you stop the war.

V. The Phone Call

The man who broke first was Harold Macmillan, Chancellor of the Exchequer. He had been among the most belligerent voices in Eden's cabinet; now, watching the reserves haemorrhage on his desk, he reversed himself completely and became the loudest advocate for an immediate ceasefire. His message to Eden was stark: it was ceasefire or national bankruptcy, and there was no third option. On 6 November 1956 — the very day Eisenhower won re-election in a landslide — Eden telephoned the President and conceded. Without consulting the French or the Israelis, with his troops still advancing and victory within a day's reach, he ordered them to halt. The fighting had lasted barely forty-eight hours.

*An empire can survive a lost battle. It can survive a lost war.
It cannot survive a lost currency.*

The humiliation was total, and contemporaries felt it keenly. Churchill, in retirement, remarked that he would never have dared begin the operation — and, having begun it, would never have dared to stop. From his hospital bed, an ailing Dulles reportedly asked the British why on earth they had halted; by stopping halfway they had earned all the world's condemnation of an aggressor while gaining none of an aggressor's prizes. Britain had contrived, as one historian put it, to secure the worst of every possible world.

VI. The Ledger of Consequences

Only once British troops were withdrawing did Washington relent and let the IMF release its loan. By then the bill had come due. Reserves fell by \$279 million in November alone. Egypt scuttled ships to block the canal, Middle Eastern oil stopped flowing, and by December Britons were queuing for rationed petrol — a galling return to wartime scarcity. Eden departed for a recuperative holiday in Jamaica while his countrymen shivered, and resigned in January 1957, citing his health. His successor was, with exquisite irony, Macmillan: the hawk who had misjudged Washington, then demanded the retreat once the figures turned against him.

The deeper consequences outlived them all. For Britain, Suez shattered the comforting fiction that it could still act as a great power independent of the United States. The "special relationship" was revealed as a bond between patron and client; from that point onward, no major British military venture would proceed without American assent. France drew the opposite lesson — that it must never again depend on Washington's goodwill — and set off down the road to its own nuclear deterrent and its prickly strategic independence. Nasser, his army battered but his canal intact, emerged a hero across the Arab world, his portrait pinned up from Morocco to Yemen. The Soviet Union, which had merely blustered, claimed credit it had not earned and won friends it had not deserved.

And for the United States, Suez was a revelation it would never forget. Eisenhower had proved that financial leverage could accomplish what fleets could not — that command of the world's money was command of the world. The sanctions, the exclusions from payment systems, the frozen reserves and weaponised currencies of our own century are all, in a sense, the grandchildren of that November weekend. The instruments have grown more sophisticated; the principle has not changed at all. Money is power, and the nation that controls the plumbing of global finance controls a great deal more besides.

That is the uncomfortable lesson standing on the banks of the Suez Canal in 1956: a country with a magnificent army, a great navy and nuclear weapons, undone not by defeat in the field but by the quiet certainty that its currency could be broken. An empire can survive a lost battle. It cannot survive a lost pound.

ESSAY AUTHORED BY

Ratty2Tails

On the day the gunboat was retired and the dollar took its place.

Drawn from the historical record, including the U.S. State Department's Foreign Relations of the United States (1955–57), the IMF's own account of the 1956 sterling crisis (Boughton, "Northwest of Suez"), the U.K. National Army Museum, and the U.S. Army War College's analysis of the three "financial warfare" strikes. Key figures — the \$2.80 peg, ~\$2.2bn of reserves, the \$102m weekly loss, and the \$561m IMF and \$600m Export-Import facilities — are as reported in those sources.